The R&AW was also fighting a turf war in the neighbourhood with the CIA. Citing a Wikileaks cable of 2003, Khatri said that the US government was trying to occupy space that India had inadvertently conceded to other powers operating in the region. The secret cable drafted by the then US Ambassador to Nepal, Michael Malinowski, just months before the CIA successfully executed the defection of R&AW officer Rabinder Singh, reveals the US's frustration as well as India's inflexible policy towards Nepal. The cable said:

On December 3 (2003) the US Ambassador raised with Indian Ambassador Shyam Saran reports that Intelligence agents assigned to the Indian Embassy in Kathmandu have been characterizing US government policy and motives in Nepal as malevolently aimed at undermining Nepal's sovereignty. The Ambassador told Saran that the reports had been passed to us by several Nepali political sources, who claimed to have had such conversations in the recent past with R&AW agents based at the Indian Embassy. He also briefed Saran about unsubstantiated reports suggesting that some Nepali Maoist women may have received training at a security facility in Dehradun in Northern India. Noting that Nepalese, both within the government and in the opposition, sometimes attempt to play off Indian and American interests, he stressed that the information passed on by these sources had not been verified. He noted that the reports predated the meeting between Nepali Maoists and Communist Party of Nepal United Marxist-Leninist General Secretary Madhav Nepal in Lucknow—an event that has set Nepali nationalists teeth on edge against India. The Ambassador emphasized that he was communicating these concerns to Saran as a friend and ally. In a separate meeting on November 30, Saran briefed the Ambassador on the just-concluded policy deliberations in New Delhi. He stressed that